# Grandpa Ray's Folder

My grandfather kept a manila folder in the drawer under the wall phone in his kitchen, and if you sat down at that table for more than about ten minutes, he would go get it. Inside was the bond prospectus for the Pallister municipal water treatment plant, which he voted to build in 1994 while he was on the village council, and which he spent the rest of his life apologizing for. I heard the story so many times that I can still hear the pauses in it. I want to tell it here, because it is the best argument I know against cities building and running their own broadband networks, and because I don't think the argument is really about broadband.

Pallister is a village of about seven thousand people in southern Ohio where my mother grew up and where my grandparents lived until 2020. For most of the twentieth century the village bought treated water from a county authority two towns over. In the early nineties the authority raised its rates twice in four years, and people were furious about it in the way that small towns get furious, at the diner, in the bleachers, at the post office. A firm my grandfather always called "the consultants" came down and gave a presentation in the fire hall with charts on foam board. Their study said Pallister could drill its own wells, build its own plant, and be saving money by year twelve. The vote was four to one. My grandfather was one of the four, and he told me he voted yes because he was tired of a decision about his own water being made by people who had never set foot in his village.

What happened next is not dramatic. That is sort of the point. The plant got built, nine months late and about a third over budget, which everyone treated as normal. Then the iron content in the wells turned out to be higher than the study assumed, so the village had to add a treatment stage that had not been in the original design. Then the state changed a testing requirement in 2003 and the plant needed a retrofit that nobody had put in a capital reserve for, because there was no capital reserve. Then the licensed operator, a man named Denny who my grandfather said was the only person who actually understood the plant, took a job at a bigger system that paid eleven thousand dollars a year more, and Pallister had to contract with an outside operating company anyway. So the village ended up paying an outside company to run the plant it had built specifically so it wouldn't have to depend on an outside company.

The plant was sold to a regional authority in 2011 for almost nothing. The bond, of course, could not be sold to anyone. My mother lives in Pallister now and there is still a line on her water bill, a separate charge, small, that pays off a plant she has never once gotten water from. When my grandfather died the folder came to my mother, and it is now in a drawer in her kitchen, which I find funny and also not funny.

Here is where I think this connects. A water plant is a hard thing for a small government to build, but at least a settling tank in 1994 is still a settling tank in 2014. Fiber networks do not sit still like that. The electronics on either end of the glass get replaced on a cycle of years, not decades, and the service expectations of customers move even faster than the equipment does. Ferreira makes this point about municipal systems generally, that public capital budgeting is built around long-lived physical assets and handles rapid replacement cycles poorly, because the political system that authorizes the spending is not the same political system that has to live with the maintenance (Ferreira 2022). That is exactly what happened in Pallister in miniature. The council that voted for the plant got to cut the ribbon. The council four elections later got to be the ones who either raised rates or let the reserve stay empty, and any council you can name is going to let the reserve stay empty.

The strongest objection to my position, and I want to be honest that it is strong, is that there are places private companies simply will not build. If you live at the end of eleven miles of county road, no firm is going to run fiber to you on its own, and telling you to wait for the market is basically telling you to wait forever. I don't have an answer to that which makes the problem disappear. What I would say is that "somebody has to make this happen" and "the city should own and operate the network for the next thirty years" are two different sentences, and the first one does not require the second. A city can require buildout as a condition of a franchise, it can subsidize the last mile directly, it can put money on the table for whoever will string the wire. Ferreira describes several arrangements where the public side funds construction without taking on operations. Those options leave the city holding a check, not a folder.

Someone will say that one village's water plant proves nothing about a fiber build in a city of three hundred thousand, and technically that's right, I only have the one story. But the thing that failed in Pallister was not the pipes. It was a government's ability to keep a twenty-five year promise using two-year attention. Cities are bigger now. I have not seen any evidence that they are more patient.